

such solutions is a big challenge on its own.

“There are local dealers selling components that have outdated in international markets. Of course, these come cheap, but the validity of your product based on such components will be next to nothing when they hit the market,” advises Keskar.

However, going with the authorised distributors usually means paying more than what a start-up or MSME will have to pay to an online channel.

The solution

The solution to most of the problems stated above lies in dividing the bill of materials (BoM) into three parts: A, B, and C. Here, the A category of components generally include the costly components like FPGAs, microprocessors, and microcontrollers that make up for 60 to 70% of the total bill of materials cost. The B category of components could include sensors, MOSFETs, memory chips, etc. This category, as Keskar explains, usually contributes 20 to 30% of the BoM value. The C category components like resistors, capacitors, inductors, and connectors usually contribute 10% or lesser to the BoM value.

“When planning to source A category components, start-ups and MSMEs must be very very particular. They must know that a lot of software and design efforts go into A category of components. The success of your company depends a lot on how you select the A category of components,” explains Keskar.

He adds, “This is because once you design using A category of components, with a lot of effort in the hardware, software, and other stacks, you lose on the negotiation power completely. The supplier knows you are ‘locked’ as changing the specs after a year of efforts is almost impossible.”

Hence, it is better to start negotiations with the supplier when you are still designing the product.

“Even the distributors will support you at the time of designing because they know that they have competition, and you can easily replace them at the drop of a hat. I think this is the most critical step for any start-up or MSME to source components effectively. Evaluate all the possible solutions when choosing the A category of com-

Good Sourcing Practices

1. Start by dividing the components required into three categories: A, B, and C.
2. Category A should have costly components that contribute 60 to 70% of the BoM value.
3. Category B should have components that contribute not more than 25 to 30% of the BoM value.
4. Category C should have low-priced components contributing less than 10% to the BoM value.
5. Start evaluating the options available for procuring the components right from the design stage.
6. Always short-list and approve as many suppliers of components as possible,
7. For the A category of components, sign pricing and end-of-life commitment with the supplier.
8. For the B category of components, ensure that you approve and qualify as many suppliers as you can.
9. For the C category of components, negotiate pricing based on annual requirement instead of small-volume buying.
10. At prototyping stage, use online channels to get genuine components in less time.

ponents. These evaluations should be done both technically as well as commercially,” notes Keskar.

He adds, “Negotiate very hard because you are going to give them a socket. Let’s say that in terms of controllers there are five options, evaluate every single of them. Apart from checking them on the technical and commercial level, make sure you also know how good the after-sales technical support is. What if you choose a \$1 component over a \$1.15 component but the technical support offered with the same is not up to the mark?”

While choosing A category components, another important aspect which the start-ups and MSMEs must check is that the manufacturer or the supplier does not have any immediate ‘end of life’ plan for the same.

“All your efforts will go waste, if such a thing happens! When you are selecting any A category component, make sure you have a commitment of at least five years from the manufacturer or the supplier. It is also good to sign a pricing contract along with this commitment,” explains Keskar.

Coming to the B category of components, it is important to note that most of these are usually multi-sourced parts, parts that are compatible pin-to-pin. Keeping options that cover four to six suppliers of B category components can be a very good start. However, a start-up needs to qualify all the suppliers’ list.

“What if one supplier goes into shortage, you should always have an alternate. This is why you should approve and qualify all the suppliers providing B category components. Always remember that the B category of components contribute around 25% of the BoM value,” says Keskar.

Another advantage of approving

all the suppliers comes in the form of negotiation power it empowers you with. If the suppliers know that you already have other suppliers waiting to supply you the components, they will do everything possible to add your start-up into their list of regular clients.

“When you are ready to place the final order, you can really negotiate with the vendors and finalise with the one ready to supply these at the least prices and provide maximum support,” explains Keskar.

There are also multiple suppliers ready to provide the C category of components in India. Tricks that work for the C category of components include annual buying. Start-ups and MSMEs need to remember that the financial impact here is not that big as the C category usually contributes around 10% or lesser of the total BoM value.

“Here you should try to go for annual volumes instead of small volumes. Big volumes always help negotiate better because you are buying big and helping the supplier clear his storage houses and make way for new batches,” explains Keskar.

Keskar advises that start-ups and MSMEs should look towards online channels for sourcing components at this stage as an online channel is the fastest medium for sourcing components within seven to ten working days.

“Start-ups and MSMEs may end up paying higher prices but then this method is the finest and fastest way to meet any type of critical requirements. This channel also ensures that you get genuine components,” explains Keskar.

“Component sourcing is not rocket science. The only thing that matters is how well you plan your component sourcing needs. The key is not to be dependent on one supplier only,” adds Keskar. **EFY**